

MERIDIAN WEALTH PARTNERS

QUARTERLY REPORTING STANDARDS

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This policy document establishes comprehensive standards for quarterly reporting to clients of Meridian Wealth Partners (hereinafter referred to as 'the Firm'), a SEBI-registered Investment Advisor. These standards ensure compliance with Securities and Exchange Board of India (SEBI) regulations, specifically the SEBI (Investment Advisers) Regulations, 2013, and maintain the Firm's commitment to transparency, accuracy, and client-centric communication.

CONFIDENTIALITY NOTICE

This document contains confidential information proprietary to Meridian Wealth Partners. Unauthorized distribution, reproduction, or disclosure is strictly prohibited. This policy is for internal use by authorized personnel, compliance officers, auditors, and regulatory authorities only.

1. DOCUMENT CONTROL

1.1 Document Identification and Versioning

This policy document is formally identified as MWP-RPT-001 within Meridian Wealth Partners' regulatory documentation framework. The document serves as the authoritative reference for all quarterly reporting processes, client communication standards, and performance measurement methodologies. Each revision is tracked with a version number and modification date to ensure that all internal stakeholders and external auditors can identify the precise version in effect at any given time. Version control is maintained in accordance with ISO 9001 quality management standards and facilitates regulatory examination by the Securities and Exchange Board of India.

1.2 Revision History

Version	Date	Author	Revision Summary
1.0	January 1, 2026	Chief Compliance Officer	Initial policy document creation and SEBI compliance alignment
1.1	January 15, 2026	Chief Compliance Officer	Minor edits to NAV sourcing procedures; added AMFI validation

1.3 Distribution List and Audience

This document is distributed to the following internal stakeholders: the Chief Investment Officer, the Chief Compliance Officer, the Head of Operations, all Relationship Managers, and the dedicated Compliance and Operations teams. External distribution includes the firm's external auditors, the SEBI examination team during on-site inspections, and internal audit personnel. Each recipient acknowledges receipt and confirms understanding of the policies and procedures outlined herein. The document is stored in a secure, access-controlled repository with version control and audit trail capabilities. Digital distribution is conducted through encrypted email communication to ensure confidentiality and integrity. Paper copies are marked with document control numbers and serial tracking identifiers.

2. PURPOSE, SCOPE & REGULATORY BASIS

2.1 Purpose and Objectives

The primary purpose of this policy is to establish comprehensive, standardized procedures for the preparation, review, validation, and distribution of quarterly performance reports to all clients of Meridian Wealth Partners. By implementing these standards, the Firm demonstrates its unwavering commitment to transparency, regulatory compliance, and the delivery of accurate, meaningful financial information that enables clients to make informed decisions regarding their investment allocations. The policy ensures that all quarterly reports present performance metrics, portfolio holdings, risk exposures, and fee disclosures in a clear, balanced, and non-misleading manner. Furthermore, this policy establishes internal quality assurance mechanisms to identify and correct data errors, reconciliation discrepancies, and reporting inconsistencies before client delivery.

2.2 Regulatory Framework and SEBI Compliance

Meridian Wealth Partners operates as a SEBI-registered Investment Advisor under the SEBI (Investment Advisers) Regulations, 2013. Regulation 9 of these rules explicitly mandates that investment advisors must provide their clients with periodic statements disclosing all relevant information regarding the client's investment portfolio. Additionally, the SEBI's 'Consolidated Investment Advisers Handbook' emphasizes the necessity of quarterly performance reporting, clear fee disclosure, and risk-adjusted return metrics. This policy aligns with AMFI (Association of Mutual Funds in India) guidelines for performance presentation and with international best practices articulated in the CFA Institute's Global Investment Performance Standards (GIPS). The policy further ensures compliance with the Income-tax Act, 1961, with respect to the documentation of income, gains, and tax-relevant transactions within client portfolios.

2.3 Client's Right to Information and Transparency Obligations

Every client of Meridian Wealth Partners possesses the fundamental right to receive timely, accurate, and comprehensive information regarding their investment portfolio. This right is enshrined in the SEBI regulations and is further reinforced by the fiduciary principles that underpin the investment advisory profession. Transparency in reporting is not merely a regulatory obligation; it is a cornerstone of the trust-based relationship between the Firm and its clients. Meridian Wealth Partners recognizes that clients rely upon quarterly reports to assess whether their portfolios remain aligned with their financial objectives, risk tolerance levels, and time horizons. To this end, the Firm commits to presenting all material information—including positive performance, underperformance relative to benchmarks, changes in portfolio composition, and impacts of fees and taxes—in a fair, balanced, and easy-to-understand manner.

2.4 Definition of Reporting Period

For purposes of this policy, a 'quarter' or 'reporting period' refers to a calendar quarter of the financial year, specifically: Q1 (January–March), Q2 (April–June), Q3 (July–September), and Q4 (October–December). Each quarterly reporting period concludes on the last business day of the quarter, which is designated as the 'Valuation Date' or 'NAV Date.' The Net Asset Value (NAV) of portfolio holdings is determined as of the close of business on this date using official closing prices from the National Stock Exchange of India (NSE), the Bombay Stock Exchange (BSE), or fund administration systems for mutual fund holdings. The quarterly report is then prepared using all transactions, valuations, and performance data captured up to and including this Valuation Date. Special reporting periods may be triggered by significant life events such as client account openings, substantial cash infusions, or account closures, as determined by the Relationship Manager in consultation with the Operations team.

3. DEFINITIONS & TERMINOLOGY

This section establishes precise definitions of financial and technical terms employed throughout this policy document and in all quarterly client reports. The use of standardized terminology ensures consistency across all client communications and facilitates comparison of performance data over time. These definitions are aligned with industry standards promulgated by the CFA Institute, the Managed Funds Association (MFA), and the SEBI Consolidated Investment Advisers Handbook.

Term	Definition
NAV (Net Asset Value)	The per-unit value of a mutual fund or the total market value of a client's portfolio divided by the number of shares outstanding.
TWR (Time-Weighted Return)	Performance metric that eliminates the impact of cash flows, reflecting the investment manager's actual skill.
MWR (Money-Weighted Return)	Internal Rate of Return (IRR) that accounts for the timing and magnitude of cash flows. Used when clients have varying investments over time.
Benchmark	Index or blended index against which portfolio performance is measured. Primary benchmarks for equity: Nifty 50 or S&P 500.
Relative Return	The difference between the portfolio's return and the benchmark return, expressed in basis points (bps) or percentage.
Absolute Return	The portfolio's actual return without reference to any benchmark, typically expressed as a percentage gain or loss.
Alpha	Excess return generated by the portfolio manager beyond what would be expected given the portfolio's level of risk.
Beta	Measure of systematic risk; a beta of 1.0 means the portfolio moves in line with the benchmark; >1.0 indicates higher volatility than the benchmark.
Risk-Adjusted Return	Return metric that accounts for portfolio volatility, such as the Sharpe ratio or information ratio, enabling comparison of returns relative to risk.
Attribution	Analysis of the sources of portfolio return, decomposed into asset allocation effects and security selection effects.

4. REPORTING PHILOSOPHY & CLIENT COMMUNICATION PRINCIPLES

4.1 Core Philosophy: Transparency and Balanced Presentation

Meridian Wealth Partners' reporting philosophy is grounded in the principle that clients deserve complete, accurate, and unbiased information regarding their investment performance. This philosophy rejects the practice of selective disclosure, wherein advisors highlight only positive performance metrics while downplaying or omitting underperformance, fee impacts, or risk exposures. Instead, Meridian adopts a balanced reporting approach that presents both favorable and unfavorable information with equal prominence. For example, if a portfolio underperformed its benchmark during a quarter, the quarterly report will clearly articulate the underperformance, explain contributing factors (such as market conditions or tactical positioning), and describe any corrective actions taken. Similarly, when fees and expenses reduce net returns, the report quantifies these impacts and helps clients understand the basis for each fee component.

4.2 Plain-Language Reporting Standards

While Meridian Wealth Partners' advisory team consists of sophisticated financial professionals, our client base encompasses individuals with varying levels of financial literacy and investment expertise. Accordingly, all quarterly reports are written in plain, accessible language that enables even clients without advanced financial training to comprehend the content and draw meaningful insights. Technical terminology is minimized or, when necessary, is accompanied by clear explanatory text. Complex concepts—such as tracking error, beta, or attribution analysis—are explained through narrative description and illustrative examples rather than dense mathematical exposition. All visual elements (charts, tables, graphs) incorporate clear titles, axis labels, and legends to facilitate understanding. The goal is to ensure that quarterly reports serve their primary function: enabling clients to understand their portfolio, assess progress toward financial goals, and engage in informed discussions with their Relationship Manager regarding any necessary adjustments.

4.3 Prohibition on Misleading Performance Representation

This policy explicitly prohibits any representation, whether explicit or implicit, that might mislead clients regarding investment performance or future returns. Prohibited practices include: (i) presenting gross-of-fees returns without corresponding net-of-fees returns; (ii) cherry-picking favorable time periods while omitting unfavorable periods; (iii) comparing the portfolio against multiple benchmarks and reporting only the benchmark against which the portfolio performed best (so-called 'benchmark shopping'); (iv) presenting hypothetical returns based on cherry-picked asset allocation assumptions; (v) making guarantees or representations regarding future performance; and (vi) failing to adequately disclose material risks or conflicts of interest. All performance presentations must comply with the CFA Institute's Global Investment Performance Standards (GIPS) and the SEBI's Consolidated Investment Advisers Handbook. In the event that a Relationship Manager or operations staff member becomes aware of any deviation from these standards, immediate escalation to the Chief Compliance Officer is mandatory.

4.4 Client-Centric Reporting Philosophy

Meridian recognizes that different clients have different informational needs and preferences. High-net-worth individuals with substantial portfolios and sophisticated investment knowledge may require more detailed performance attribution, risk analytics, and market commentary than retail clients with smaller portfolios and less technical expertise. To accommodate these differences, relationship managers may customize certain sections of the quarterly report within the constraints of this policy. For example, a

high-net-worth client interested in detailed factor analysis might receive expanded discussion of the portfolio's exposure to momentum, value, and quality factors, while a retail client might receive a simplified version that focuses only on overall performance and risk level. However, all variations must preserve compliance with the policy's mandatory requirements regarding fee disclosure, benchmark comparison, and risk metrics reporting.

5. QUARTERLY CLIENT PORTFOLIO REPORT — STRUCTURE & CONTENT

This section specifies the precise structure and content requirements for every quarterly client portfolio report generated by Meridian Wealth Partners. Each quarterly report must include all sections outlined below, though the depth and presentation may be tailored to individual client circumstances within the parameters established by this policy.

5.1 Executive Summary and Performance Highlights

Each quarterly report begins with a concise Executive Summary that provides the client with a high-level overview of portfolio performance and key changes during the reporting period. This section includes the following elements: (i) the period-end date and period-end portfolio value; (ii) the total return earned during the quarter, expressed both in absolute terms (percentage gain/loss) and on a net-of-fees basis; (iii) comparison of the quarterly return against the primary benchmark, with notation of outperformance or underperformance; (iv) year-to-date and since-inception returns on both gross and net bases; (v) a brief summary of major portfolio changes made during the period, such as sector reallocation or transition between investment mandates; (vi) the portfolio's current risk profile (volatility level, maximum drawdown) relative to the benchmark; and (vii) a forward-looking statement regarding the portfolio's positioning relative to current market conditions and the Firm's outlook. The Executive Summary is written in plain language, typically spanning 1-2 pages, and is designed to be comprehensible to a sophisticated retail investor without requiring detailed financial knowledge. Quantitative data in the Executive Summary is supported by explanatory narrative that contextualizes the numbers and explains any significant variations.

5.2 Portfolio Valuation Statement

The Portfolio Valuation Statement presents a comprehensive accounting of all portfolio holdings as of the quarter-end date, with detailed valuation information. This statement includes: (i) opening balance (portfolio value at start of quarter); (ii) cash flows (additions, withdrawals, dividend distributions) during the quarter; (iii) period-end valuation of each security holding, including the security name, ticker symbol, number of shares/units held, cost basis per share, current market price, and current market value; (iv) total portfolio market value at quarter-end; (v) unrealized gains or losses on each holding, expressed both in absolute rupees and as a percentage; and (vi) accrued dividend income or other income not yet received. The Valuation Statement serves as a critical reconciliation point and is cross-checked against custodian statements to ensure accuracy. Any discrepancies between the Firm's valuation and the custodian's valuation must be investigated and resolved before the report is delivered to the client.

5.3 Asset Allocation Summary

The Asset Allocation Summary presents the percentage breakdown of the portfolio across major asset classes and sectors at quarter-end. Typical asset allocation categories include: Large-Cap Equities, Mid-Cap Equities, Small-Cap Equities, Government Securities, Investment-Grade Corporate Bonds, High-Yield Bonds, Cash Equivalents, and Alternatives. For each asset class, the summary presents: (i) the number of holdings; (ii) the percentage of total portfolio value; (iii) the market value in rupees; and (iv) the allocation relative to the target allocation established in the client's Investment Policy Statement. If the allocation has drifted from target (e.g., due to market appreciation of equities outpacing fixed-income returns), the report explains the deviation and indicates whether rebalancing action is planned. A visual pie chart or stacked bar chart accompanies the allocation summary to facilitate client understanding. The report also compares the portfolio's asset allocation to that of the primary benchmark and explains any meaningful differences.

5.4 Individual Holdings Detail and Sector Analysis

This section provides a detailed listing of each individual security held in the portfolio, including: security name, ticker symbol, number of shares/units, market price as of quarter-end, market value, percentage of total portfolio, cost basis, unrealized gain/loss, and a classification by sector or asset class. For equity holdings, the report includes the company's sector classification (e.g., Information Technology, Healthcare, Financials) as per NSE sector definitions. For fixed-income holdings, the report specifies the credit rating, coupon rate, maturity date, and current yield-to-maturity. For mutual fund holdings, the report includes the fund's category (e.g., Equity Large-Cap Fund, Balanced Fund) and the fund's one-year, three-year, and five-year trailing returns versus category benchmarks. Sector-level analysis aggregates the portfolio's exposure across all sectors, presents sector weights versus benchmark sector weights, and highlights any overweight or underweight positions that reflect the portfolio manager's tactical views. Narrative commentary explains the rationale for significant sector overweights (e.g., 'We maintain an overweight position in Healthcare, given the sector's defensive characteristics and attractive valuation relative to the Nifty 50 average').

5.5 Transactions Summary

The Transactions Summary documents all buy, sell, and exchange transactions executed in the client's portfolio during the reporting quarter. Each transaction entry includes: the transaction date, security name and ticker symbol, transaction type (purchase/sale/exchange), number of shares traded, transaction price per share, and gross proceeds or cost. For each sale or exchange transaction, the report also calculates and discloses the realized gain or loss and the holding period. Transactions are organized chronologically within the quarter and may also be aggregated by security or transaction type to facilitate analysis. If significant transactions occurred (e.g., a major portfolio rebalancing or a substantial security sale), the summary includes explanatory narrative describing the strategic rationale. Transactions are reconciled against custodian records to ensure accuracy.

5.6 Fee Disclosure and Expense Statement

The Fee Disclosure section presents a complete accounting of all fees and expenses charged to the client's portfolio during the reporting quarter. This includes: (i) the advisory fee, calculated as a percentage of average assets under management (AUM) during the quarter and expressed in both percentage terms (e.g., 0.75% per annum) and rupee terms (e.g., Rs. 18,750); (ii) brokerage commissions paid to the custodian or broker for execution of buy and sell transactions; (iii) Securities Transaction Tax (STT); (iv) exchange fees; (v) custodian fees; (vi) GST on professional fees; and (vii) any other expenses. For each fee category, the report specifies the basis for calculation (e.g., percentage of AUM, per-transaction charge) and the total amount in rupees. The report then calculates the total expense ratio (TER) for the quarter and presents it in annualized form. Critically, the report compares the client's gross-of-fees return to the client's net-of-fees return, clearly quantifying the impact of fees and expenses on the client's bottom-line returns. This fee impact analysis enables clients to assess whether the Firm's advisory services have generated sufficient alpha (outperformance) to justify the fee costs.

5.7 Market Commentary and Outlook

The Market Commentary section provides the Firm's assessment of macroeconomic conditions, market trends, and the investment landscape during the reporting quarter and for the forward-looking period. This section includes: (i) a summary of significant macroeconomic developments (interest rate changes, inflation trends, GDP growth, currency movements, sector performance); (ii) analysis of the performance of major indices (Nifty 50, Nifty Midcap, Sensex, bond indices); (iii) an explanation of how these macro developments influenced the portfolio's performance during the quarter; (iv) the Firm's current market outlook (bullish, neutral, or bearish) and the underlying rationale; and (v) forward-looking strategic positioning or recommended adjustments to the portfolio in light of the anticipated market environment. The commentary is written in balanced, measured language that acknowledges both upside opportunities and downside risks. Critically, the commentary does not make guarantees or representations regarding future investment returns. Rather, it presents the Firm's analytical perspective and the reasoning that informs portfolio positioning decisions.

6. PERFORMANCE MEASUREMENT METHODOLOGY

Accurate performance measurement is a cornerstone of Meridian Wealth Partners' commitment to transparency and accountability. This section details the methodologies employed by the Firm to calculate portfolio returns, account for cash flows, adjust for fees, and benchmark performance against industry-standard indices.

6.1 Time-Weighted Return (TWR) Calculation Methodology

The Time-Weighted Return (TWR) is Meridian's primary performance measurement methodology and represents the performance that the portfolio manager achieved independent of the timing and size of client cash flows. TWR is calculated by linking periodic returns (daily, monthly, or quarterly sub-periods) to produce a composite return that eliminates the distortionary effects of cash flows. The methodology works as follows: (i) the portfolio's beginning value is recorded; (ii) all securities in the portfolio are marked-to-market at the end of each sub-period; (iii) a return is calculated for each sub-period as: $(\text{Ending Value} - \text{Beginning Value} - \text{Net Cash Flow}) / (\text{Beginning Value})$; (iv) sub-period returns are linked using the formula: $\text{TWR} = [(1 + R_1) \times (1 + R_2) \times \dots \times (1 + R_n)] - 1$; and (v) the linked return is annualized if necessary using the formula: $\text{Annualized Return} = (1 + \text{TWR})^{(365 / \text{Number of Days})} - 1$. By isolating manager performance from cash flow effects, TWR allows clients to compare the Firm's skill against industry benchmarks and peer managers on an apples-to-apples basis. TWR is compliant with the CFA Institute's Global Investment Performance Standards (GIPS) and represents best practice in the investment advisory industry.

6.2 Money-Weighted Return (MWR) and Internal Rate of Return

In addition to TWR, Meridian also calculates and reports the Money-Weighted Return (MWR), also known as the Internal Rate of Return (IRR). MWR accounts for the actual timing and magnitude of client cash flows and thus reflects the actual return earned by the client. This metric is particularly important for clients who have made multiple contributions or withdrawals during an investment period. MWR is calculated by solving the following equation for the discount rate (r): $PV_0 + CF_1/(1+r)^{t_1} + CF_2/(1+r)^{t_2} + \dots + CF_n/(1+r)^{t_n} = PV_n$, where PV_0 is the starting portfolio value, PV_n is the ending portfolio value, CF_i represents cash flows, and t_i represents the time periods over which cash flows occurred. While TWR eliminates cash flow effects, MWR shows clients their actual return given their specific investment timing. Both metrics are valuable: TWR for assessing manager skill and MWR for assessing client wealth accumulation. In quarterly reports, both metrics are presented with clear explanations of the circumstances that drive any significant divergence between TWR and MWR.

6.3 Gross Returns vs. Net-of-Fees Returns

Meridian reports investment returns on both a gross-of-fees and net-of-fees basis, with net-of-fees returns given primary prominence in client reports. Gross returns reflect the portfolio's investment performance before any deduction of the Firm's advisory fees, brokerage commissions, or other transaction costs. Net returns reflect the performance after all fees and costs are deducted. For example, if a portfolio earned a gross return of 12% during a quarter and incurred fees and expenses of 0.5%, the net return would be 11.5%. Net-of-fees returns represent the bottom-line performance relevant to the client's wealth accumulation and are the primary basis for evaluating whether the Firm's advisory services have added value. However, gross returns are also reported to enable comparison of the Firm's investment skill against benchmarks and competitors. The reconciliation between gross and net returns provides transparency regarding the cost of investment advisory services.

6.4 Compounding and Since-Inception Return Calculation

When calculating returns over multiple quarters or years, Meridian compounds returns using geometric linking to accurately reflect the cumulative effect of returns earned in sequential periods. For example, if a portfolio earned 3% in Q1 and 2% in Q2, the six-month return is calculated as $(1.03 \times 1.02) - 1 = 5.06\%$, not 5.0%. Since-inception returns are calculated from the date the client's account was established through the current reporting date. This metric provides clients with a long-term perspective on performance and is particularly meaningful for evaluating the Firm's performance over market cycles. Since-inception returns are always presented alongside shorter-period returns (quarterly, year-to-date, one-year, three-year) to provide a comprehensive performance view.

6.5 Annualization Rules and Period-End Considerations

Returns are annualized when reporting performance over periods other than one year. The annualization formula is: $\text{Annualized Return} = (\text{Ending Value} / \text{Beginning Value})^{(365 / \text{Number of Days})} - 1$. Annualization assumes that returns compound at a consistent rate throughout the year and thus should not be used for performance periods less than three months, as such annualization can produce misleading results. For recent periods (less than one year), Meridian reports the period's actual return without annualization. All return calculations use actual calendar days (including weekends and holidays) in the denominator to maintain precision. When a client's account is opened or closed mid-quarter, the performance for that partial quarter is calculated on a time-weighted basis using the actual number of days the account was active.

7. BENCHMARK SELECTION & COMPARISON

The selection and application of appropriate benchmarks is critical to meaningful performance evaluation. Meridian Wealth Partners employs a structured approach to benchmark selection based on each client's investment mandate, asset allocation, and suitability assessment.

7.1 Primary Benchmark Selection: Equity and Fixed Income

For portfolios with substantial equity exposure, the primary benchmark is the NIFTY 50 Total Return Index (Nifty 50 TRI), which comprises 50 large-capitalization stocks listed on the National Stock Exchange and includes dividend reinvestment. The Nifty 50 TRI is widely regarded as the primary barometer of large-cap equity market performance in India and is most appropriate for value-oriented, dividend-paying equity portfolios that concentrate holdings in well-established companies. For portfolios with substantial small-cap or mid-cap exposure, Meridian may employ the NIFTY Midcap 100 Index or a blended benchmark that weights Nifty 50 TRI and Nifty Midcap components according to the portfolio's composition. For fixed-income portfolios, the primary benchmark is the CRISIL Composite Bond Index (formerly CRISIL 10 Yr G-Sec Index), which reflects the performance of a diversified portfolio of investment-grade government securities and corporate bonds. This benchmark is appropriate for medium-to-long-duration fixed-income allocations. For short-duration fixed-income allocations focused on money market instruments and short-term bonds, the NIFTY 91-Day T-Bill Index or the CRISIL Money Market Index may be employed.

7.2 Blended Benchmark Construction Methodology

For balanced portfolios containing both equity and fixed-income allocations, Meridian constructs a blended benchmark that reflects the target asset allocation. For example, a portfolio with a target allocation of 60% equities and 40% fixed income would employ a blended benchmark of $(60\% \times \text{Nifty 50 TRI}) + (40\% \times \text{CRISIL Composite Bond Index})$. The blended benchmark is rebalanced quarterly to reflect any changes in the client's target asset allocation as documented in the Investment Policy Statement. The blended benchmark is calculated on a total-return basis (including dividends and coupons) to enable accurate comparison with the portfolio's actual total return. This methodology ensures that benchmark returns reflect the same market conditions and asset allocation biases as the portfolio, enabling meaningful assessment of whether the portfolio manager has added value through security selection or tactical asset allocation decisions.

7.3 Peer Group Comparison and Relative Performance Context

In addition to benchmark comparison, Meridian provides clients with context regarding how the portfolio's performance compares to that of similar portfolios managed by other investment advisors. This peer group comparison is conducted using data from organizations such as Morningstar, CRISIL Analytics, or industry peer surveys. For example, a balanced fund portfolio might be compared to the median return of other balanced funds managed by peers. This peer comparison is presented with caveats acknowledging that peer performance data may vary depending on the selection of peers, the time period examined, and fees charged by peers. The peer comparison context helps clients understand whether the Firm's performance is competitive within the industry.

7.4 Benchmark Suitability Assessment

Meridian periodically reviews the suitability of the benchmark assigned to each client portfolio to ensure that the benchmark remains appropriate given changes in market conditions, regulatory guidance, or the client's

circumstances. This review occurs at least annually and is documented in the client's file. Meridian recognizes that no single index perfectly represents the opportunity set available in the market or the constraints faced by an individual investor. Accordingly, Meridian may adjust a client's benchmark if circumstances warrant. For example, if a client is approaching retirement and shifts from an aggressive equity allocation to a conservative balanced allocation, the benchmark would be updated to reflect the new allocation. Any benchmark changes are communicated to the client in writing and explained in the subsequent quarterly report.

8. RISK METRICS REPORTING

Meridian Wealth Partners recognizes that understanding portfolio risk is as important as understanding portfolio return. Accordingly, quarterly reports include comprehensive risk metrics that enable clients to assess the volatility, downside risk, and systematic risk of their portfolios.

8.1 Portfolio Volatility (Standard Deviation)

Portfolio volatility, measured as the standard deviation of returns, quantifies the extent to which a portfolio's returns fluctuate around the average return. Volatility is calculated as the annualized standard deviation of daily, weekly, or monthly returns over a rolling 1-year or 3-year period. A highly volatile portfolio exhibits large swings in value, both upward and downward, while a stable portfolio exhibits more modest fluctuations. For example, if a portfolio's annualized standard deviation is 12%, this suggests that returns typically fall within the range of approximately -12% to +12% around the average return in any given year (assuming a normal distribution). Meridian reports portfolio volatility alongside the benchmark volatility to enable clients to assess whether their portfolio is riskier or more stable than the benchmark. Elevated portfolio volatility may reflect either higher equity exposure or concentration in volatile securities; conversely, lower volatility may reflect conservative positioning or broad diversification.

8.2 Sharpe Ratio and Risk-Adjusted Return Analysis

The Sharpe Ratio is a risk-adjusted return metric that measures the excess return earned per unit of risk (volatility) taken. It is calculated as: $\text{Sharpe Ratio} = (\text{Portfolio Return} - \text{Risk-Free Rate}) / \text{Portfolio Volatility}$. The risk-free rate is typically taken as the yield on 91-day government securities or the RBI's reverse repo rate. A higher Sharpe Ratio indicates superior risk-adjusted returns; for example, a portfolio with a 12% return and 15% volatility may have a higher Sharpe Ratio than a portfolio with a 10% return and 8% volatility, depending on the absolute magnitude of the ratios. Meridian reports the portfolio's Sharpe Ratio alongside the benchmark's Sharpe Ratio, enabling clients to assess whether the Firm has generated superior returns relative to the level of risk undertaken. This metric is particularly useful for comparing portfolios with different risk profiles and enables clients to understand the Firm's risk management discipline.

8.3 Maximum Drawdown

Maximum Drawdown is a measure of the largest peak-to-trough decline in portfolio value experienced during a specified period (typically the prior 3 years). For example, if a portfolio's highest value during a 3-year period was Rs. 50 lakhs and its lowest subsequent value was Rs. 42 lakhs, the maximum drawdown would be 16%. This metric is meaningful to clients because it quantifies the worst-case loss that the client would have experienced during that period. A portfolio with a maximum drawdown of 8% experienced less severe losses than a portfolio with a maximum drawdown of 20%, all else equal. Meridian reports maximum drawdown alongside the benchmark's maximum drawdown to enable clients to assess the downside risk embedded in their portfolio. High maximum drawdown may indicate either aggressive positioning during a market downturn or concentration in volatile securities and warrants discussion between the Relationship Manager and the client.

8.4 Beta and Systematic Risk

Beta measures the sensitivity of a portfolio's returns to movements in the benchmark index. A beta of 1.0 indicates that the portfolio moves in line with the benchmark; a beta greater than 1.0 indicates that the

portfolio is more volatile than the benchmark and will likely outperform in rising markets but underperform in falling markets; a beta less than 1.0 indicates that the portfolio is less volatile than the benchmark. For example, a growth-oriented portfolio might have a beta of 1.15 relative to the Nifty 50, indicating that a 10% rise in the Nifty 50 would be expected to produce an 11.5% rise in the portfolio, and a 10% fall in the Nifty 50 would be expected to produce an 11.5% fall in the portfolio. Beta is calculated using regression analysis over a rolling 1-year or 3-year period. Meridian reports portfolio beta alongside the benchmark beta (which is always 1.0 by definition) to help clients understand the portfolio's systematic risk orientation. A conservative client may prefer a portfolio with beta less than 1.0, while a growth-oriented client may accept higher beta.

8.5 Tracking Error and Relative Volatility

Tracking Error measures the standard deviation of the differences between portfolio returns and benchmark returns. It quantifies the extent to which a portfolio's performance 'tracks' or deviates from the benchmark. A low tracking error (e.g., 2-3%) indicates that the portfolio moves closely in line with the benchmark, while a high tracking error (e.g., 8-10%) indicates substantial deviation from the benchmark. Tracking error reflects the degree to which the portfolio manager is taking active, differentiated positions relative to the benchmark. Passive index-tracking portfolios would have very low tracking error (approaching zero), while actively managed portfolios pursuing value, growth, or quality strategies would have higher tracking error. Meridian reports tracking error alongside an explanation of the sources of deviation. Elevated tracking error may reflect tactical overweights to preferred sectors or security selection strategies and is justified if accompanied by superior net-of-fees performance.

9. FEE & EXPENSE DISCLOSURE

Transparent disclosure of all fees and expenses is a cornerstone of Meridian Wealth Partners' commitment to client service and regulatory compliance. This section details the nature, basis, and calculation of all costs borne by clients.

9.1 Advisory Fee Structure

Meridian charges clients an advisory fee calculated as a percentage of average Assets Under Management (AUM). The advisory fee structure is tiered based on portfolio size, with lower percentage rates applied to larger portfolios. For example, a typical advisory fee schedule might be: 0.75% per annum on AUM up to Rs. 25 lakhs; 0.65% per annum on AUM from Rs. 25 lakhs to Rs. 1 crore; 0.55% per annum on AUM from Rs. 1 crore to Rs. 5 crores; and 0.45% per annum on AUM exceeding Rs. 5 crores. The advisory fee is calculated monthly or quarterly based on average AUM during that period and is either deducted directly from the client's account or billed separately, depending on the client's service agreement. The quarterly report discloses the specific advisory fee rate applicable to the client, the average AUM during the quarter, the fee calculation methodology, and the rupee amount of the fee charged. This disclosure ensures that clients understand the economic relationship between the Firm and the client and can assess whether the advisory fee is reasonable relative to services rendered.

9.2 Transaction-Based Costs: Brokerage, STT, and Exchange Charges

In addition to the advisory fee, clients incur transaction-related costs when securities are bought or sold. These costs include: (i) brokerage commissions, typically ranging from 0.05% to 0.20% of transaction value depending on the broker and transaction type; (ii) Securities Transaction Tax (STT), a tax levied by the Government of India on equity trades (typically 0.025% for equity deliveries, 0.025% for mutual fund transfers); (iii) exchange transaction charges levied by the NSE and BSE (typically 0.001% to 0.003% per transaction); and (iv) clearing and settlement charges levied by clearing houses. These costs are typically implicit in the execution price and are not separately invoiced to the client, but Meridian discloses their estimated aggregate amount in the quarterly fee statement. The quarterly report provides a detailed accounting of transaction costs incurred during the quarter, broken down by cost category, and explains how these costs impact net returns. By quantifying transaction costs, the Firm demonstrates its attention to cost management and helps clients understand the frictional costs inherent in an actively managed portfolio.

9.3 GST and Regulatory Charges

In accordance with Indian tax law, Goods and Services Tax (GST) at 18% is levied on the advisory fee charged by Meridian. Additionally, the Firm may incur regulatory compliance costs (e.g., SEBI registration fees, stock exchange fees, custodian fees) that are attributable to client accounts. These costs are either directly passed through to clients (if separately documented in the service agreement) or absorbed by the Firm. The quarterly report discloses the GST amount charged on advisory fees and, if applicable, any other regulatory charges attributed to the client account. The total fee burden on the client is thus the advisory fee plus GST plus any transaction-related costs, and the quarterly report presents these components in a clear, itemized format.

9.4 Total Expense Ratio (TER) Calculation

Meridian calculates and discloses the Total Expense Ratio (TER), which expresses the sum of all fees and expenses as a percentage of average AUM for the period. The TER is calculated as: $TER = (Total\ Fees + Transaction\ Costs + Regulatory\ Charges) / Average\ AUM$. For example, if a client's portfolio had average AUM of Rs. 100 lakhs during the quarter, paid advisory fees of Rs. 18,750 ($0.75\% \times Rs. 100\ lakhs$), incurred transaction costs of Rs. 5,000, and paid GST of Rs. 3,375, the quarterly TER would be $(18,750 + 5,000 + 3,375) / 100\ lakhs = 0.27\%$. The annualized TER would be $4 \times 0.27\% = 1.08\%$. The TER provides a comprehensive measure of all costs and is useful for comparing the Firm's cost structure to that of competitors or index funds. By disclosing the TER, Meridian demonstrates transparency regarding the total economic burden imposed on clients.

9.5 Fee Impact on Returns and Alpha Generation

Meridian recognizes that fees and expenses reduce the net returns available to clients. Accordingly, the quarterly report explicitly quantifies the impact of fees on returns. For example, if the portfolio earned a gross return of 12% and incurred total fees and expenses of 1.0%, the net return would be 11%. The report then assesses whether the Firm has generated sufficient alpha (outperformance versus the benchmark) to justify the fee burden. If the portfolio outperformed its benchmark by 1.5% (gross), but incurred 1.0% in fees, the client's net alpha would be 0.5%, indicating that the Firm's advisory services added value. Conversely, if the portfolio outperformed the benchmark by only 0.5%, the client's net alpha would be negative, indicating that the Firm's advisory services did not cover costs. This fee impact analysis is critical to demonstrating that advisory fees are reasonable and justified by investment performance.

10. MARKET COMMENTARY STANDARDS

Meridian Wealth Partners believes that quarterly market commentary provides valuable context for understanding portfolio performance and informs client expectations regarding future market conditions and portfolio positioning. However, market commentary must be presented in a balanced, factual manner that respects the inherent uncertainty of future market movements.

10.1 Content and Scope of Market Commentary

The Market Commentary section of the quarterly report addresses the following topics: (i) a summary of macroeconomic developments during the quarter, including changes in interest rates, inflation rates, GDP growth, currency movements, and fiscal policy; (ii) analysis of the performance of major Indian equity indices (Nifty 50, Nifty Midcap, Sensex) and fixed-income benchmarks (CRISIL Composite Bond Index, 10-year G-Sec yield); (iii) sector-specific performance data and trends; (iv) discussion of global economic conditions and their implications for Indian markets (e.g., Fed policy, global growth, commodity prices); and (v) forward-looking assessment of market conditions and the Firm's strategic positioning. The commentary should be substantive and informative, neither excessively technical nor overly simplistic. The goal is to educate clients regarding market dynamics while maintaining appropriate skepticism about the ability to predict future market movements.

10.2 Balanced Tone and Risk-Upside Symmetry

Market commentary must present both upside opportunities and downside risks in a balanced manner. The commentary must not be excessively bullish or bearish, nor should it emphasize positive scenarios while downplaying or omitting negative ones. For example, if the commentary identifies attractive valuations in a particular sector, it should also discuss potential risks to that sector (e.g., regulatory changes, competitive dynamics, economic sensitivity). Similarly, if the commentary discusses downside risks, it should also articulate the potential opportunities that may emerge if risks materialize. This balanced approach enhances the credibility of the commentary and demonstrates analytical rigor.

10.3 Prohibition on Forward-Looking Guarantees and Representations

The quarterly report explicitly prohibits any guarantee, representation, or statement implying certainty regarding future market movements or investment returns. Language such as 'the market will definitely rise' or 'we will outperform the benchmark' is strictly prohibited. Instead, commentary uses appropriately qualified language such as 'we anticipate,' 'we expect,' 'our analysis suggests,' or 'based on current valuations and growth expectations.' This qualified language acknowledges the inherent uncertainty of market forecasting and manages client expectations appropriately. Meridian recognizes that the ability to forecast markets with precision is extremely limited, and therefore the Firm does not represent otherwise to clients.

10.4 Attribution of Market Views and Disclaimer Requirements

All market commentary is attributed to the Firm (Meridian Wealth Partners) rather than to individual analysts or external sources. The commentary represents the Firm's collective analytical perspective as of the report date and is subject to change as new information becomes available. If the commentary incorporates external sources or third-party research, attribution is provided (e.g., 'as noted by Morgan Stanley Research' or 'based on CRISIL ratings'). The quarterly report includes a disclaimer stating that past performance does not guarantee future results, that market conditions may change rapidly, and that the views expressed in the commentary are based on information available as of the report date. The disclaimer

further notes that investment markets are inherently uncertain and that investors should consult with the Firm regarding any adjustments to their portfolio strategy in light of changed market conditions.

11. REPORT DISTRIBUTION & DELIVERY

Timely delivery of accurate quarterly reports is essential to Meridian's service delivery and client satisfaction. This section establishes clear timelines, delivery channels, and documentation requirements for report distribution.

11.1 Delivery Timeline and Regulatory Requirements

Quarterly reports must be delivered to clients within fifteen (15) calendar days following the end of the reporting quarter. For example, reports for Q1 (January-March) must be delivered by April 15. This timeline allows sufficient time for the portfolio valuation process, performance calculation, report preparation, internal review, and quality assurance before delivery to clients. This timeline exceeds minimum SEBI requirements and reflects Meridian's commitment to prompt, timely reporting. In the event that extraordinary circumstances (e.g., system outages, custodian delivery delays) prevent timely delivery, the Chief Compliance Officer and the client's Relationship Manager are notified immediately, and an updated delivery target is communicated to the client.

11.2 Delivery Channels and Security Protocols

Quarterly reports are delivered through two primary channels: (i) secure encrypted email transmission to the client's registered email address, and (ii) upload to the client's secure online portal on the Meridian Wealth Partners website. The online portal is protected by multi-factor authentication and is accessible only to authorized users. Reports are encrypted using AES-256 encryption standards to ensure that intercepted communications cannot be decrypted. Clients are provided with login credentials and instructed on portal access during the account onboarding process. For clients who prefer paper delivery or who do not have reliable email/internet access, Meridian may deliver a printed report via courier at the client's request, though electronic delivery is the default method. All delivery methods maintain the confidentiality and integrity of client information.

11.3 Acknowledgment Tracking and Archive Requirements

Upon delivery of a quarterly report via the secure portal, the system automatically tracks client access and views. If a report is delivered via email, the Relationship Manager sends a follow-up communication requesting confirmation that the client has received and reviewed the report. This acknowledgment tracking provides evidence of timely delivery and enables the Firm to identify clients who may require assistance in accessing or understanding reports. For regulatory and audit purposes, all delivered reports are archived in a secure repository with appropriate access controls, retention policies, and backup procedures. Archives are maintained for a minimum of five (5) years, in compliance with SEBI requirements. Archived reports are organized by client, quarter, and year to facilitate efficient retrieval during regulatory examinations or customer inquiries.

12. REGULATORY REPORTING OBLIGATIONS

In addition to client-facing quarterly reports, Meridian Wealth Partners must satisfy various regulatory reporting obligations to SEBI and other authorities. This section outlines these obligations.

12.1 SEBI Quarterly Compliance Reporting

Meridian files quarterly compliance reports with SEBI in accordance with the SEBI (Investment Advisers) Regulations, 2013. These reports document the Firm's adherence to regulatory requirements, including: (i) the number of clients and Assets Under Management (AUM); (ii) compliance with investment advisory agreement requirements; (iii) fee disclosures; (iv) conflicts of interest management; and (v) significant events or changes in the Firm's operations. These regulatory reports are distinct from client-facing reports and contain compliance-specific information not disclosed to individual clients. The Chief Compliance Officer is responsible for the timely preparation and filing of SEBI regulatory reports.

12.2 Annual Audit Submissions and Auditor Communications

Meridian's external auditors conduct an annual audit of the Firm's financial statements and internal controls. As part of the audit, auditors review a sample of client files, including investment advisory agreements, client communications, and quarterly reports, to assess compliance with SEBI regulations and internal policies. The Firm cooperates fully with auditors by providing timely access to records and responding to audit inquiries. Audit findings are communicated to the Board of Directors and the Chief Compliance Officer, and corrective action plans are implemented for any identified deficiencies.

12.3 Suspicious Transaction Reporting and Know Your Client (KYC)

Meridian is subject to anti-money laundering (AML) and Know Your Client (KYC) regulations administered by the Financial Intelligence Unit (FIU) India. The Firm maintains comprehensive KYC documentation for all clients and monitors transactions for suspicious patterns that might indicate money laundering or terrorist financing. If a transaction or series of transactions is identified as potentially suspicious, the Firm files a Suspicious Transaction Report (STR) with the FIU in accordance with regulatory requirements. All KYC and AML functions are supervised by the Chief Compliance Officer.

12.4 Client Complaint Reporting and Grievance Management

Meridian maintains a formal client complaint tracking and resolution system. Client complaints are logged, investigated, and resolved in accordance with SEBI-mandated timelines (typically 30 days). A summary of complaints received and their disposition is filed with SEBI in the Firm's quarterly compliance reports. Common complaint categories include: performance-related complaints, fee-related disputes, communication delays, and allegations of breach of fiduciary duty. Each complaint is escalated to the Chief Compliance Officer and, if warranted, to the Firm's Board of Directors. Systemic issues identified through complaint analysis trigger process improvements and additional staff training.

13. DATA QUALITY & VALIDATION

The accuracy and reliability of quarterly reports depend upon the quality and validation of underlying data. Meridian implements a multi-level review process to ensure data integrity.

13.1 Multi-Level Review Process and Segregation of Duties

Each quarterly report passes through multiple stages of review by different personnel to detect and correct errors: (i) **Preparation Stage:** The Relationship Manager or operations analyst prepares the draft quarterly report, assembling performance data, holdings information, and fee calculations. (ii) **Validation Stage:** The Operations team independently verifies the accuracy of portfolio valuations, transaction records, and performance calculations. All figures are cross-checked against custodian statements and fund administration systems. (iii) **Compliance Review:** The Chief Compliance Officer or designated compliance officer reviews the report for regulatory compliance, appropriate disclosures, and adherence to this policy. (iv) **Final Delivery:** The Relationship Manager conducts a final review before delivery to the client, ensuring that the report reflects the client's current circumstances and contains no obvious errors or omissions. This segregation of duties reduces the risk of error or misstatement and provides multiple checkpoints for quality assurance.

13.2 Reconciliation with Custodian and Depository Statements

All portfolio valuations and holdings reported in the quarterly report are reconciled against official statements provided by the custodian and depositories (e.g., NSDL, CDSL). The custodian's statement is the source of truth for the number of shares held and the cash balance. Any discrepancies between the Firm's records and the custodian's statement are investigated immediately. Common sources of discrepancies include timing differences in cash deposits or withdrawals, dividend reinvestment, corporate actions (splits, mergers, rights offerings), and fees charged by the custodian. Discrepancies are resolved and documented in writing before the quarterly report is finalized. This reconciliation process ensures that portfolio holdings reported to clients are accurate and current.

13.3 NAV Sourcing and Validation Procedures

Net Asset Values (NAVs) for equity holdings are sourced from official closing prices on the National Stock Exchange (NSE) or Bombay Stock Exchange (BSE) as of the quarter-end date. For mutual fund holdings, NAVs are sourced from the Association of Mutual Funds in India (AMFI) database, which publishes official fund NAVs on a daily basis. All NAVs are sourced from official, independent sources to ensure objectivity and prevent manipulation. If official prices are unavailable (e.g., for unlisted securities), the Firm uses fair value estimates from recognized third-party valuation providers or, if necessary, internal valuation methodologies subject to review and approval by the Chief Investment Officer. The source of all valuations is documented for audit purposes.

14. EXCEPTION REPORTING & ESCALATION

Meridian has established protocols for identifying and escalating significant portfolio exceptions or performance anomalies that may require discussion with clients or corrective action.

14.1 Significant Underperformance Triggers

If a client's portfolio underperforms its benchmark by more than 5% on an absolute basis during a quarter, or if the portfolio experiences underperformance exceeding 300 basis points (3%) for two consecutive quarters, the situation is flagged as an exception requiring investigation and escalation. The responsible Relationship Manager is required to conduct a detailed analysis of the sources of underperformance (e.g., poor security selection, unfavorable sector allocation relative to the benchmark, high transaction costs) and to present this analysis to the client in a structured meeting. If underperformance is attributable to a systematic issue (e.g., a particular sector allocation decision that has consistently underperformed), consideration is given to modifying the strategy in consultation with the client.

14.2 Breach of Investment Guidelines and Constraints

Each client's Investment Policy Statement establishes guidelines regarding permissible investments, maximum position sizes, sector allocation limits, and risk parameters. If a portfolio's composition deviates from these guidelines (e.g., a single-security position exceeds the maximum position size limit, or equity exposure exceeds the target allocation by more than a specified threshold), the exception is immediately escalated to the Chief Investment Officer and the Relationship Manager. The responsible parties are required to determine whether the deviation is attributable to an execution error, a subsequent market movement that caused allocations to drift from targets (in which case rebalancing is recommended), or an intentional tactical decision that requires client consent. All breaches are documented and investigated.

14.3 Client Complaint Escalation Procedures

If a client expresses dissatisfaction with performance, fee levels, communication quality, or any other aspect of service, the complaint is documented and escalated to the Chief Compliance Officer. The complaint is investigated, a root cause is identified, and a resolution plan is communicated to the client within the SEBI-mandated 30-day timeline. If a complaint suggests a systemic issue affecting multiple clients, escalation to the Firm's Board of Directors occurs, and process improvements are implemented to prevent recurrence.

14.4 Relationship Manager Escalation Procedures

If a Relationship Manager identifies any irregularity, error, or deviation from policy during the preparation or review of a quarterly report, immediate escalation to the Chief Compliance Officer and the Chief Investment Officer is mandatory. Examples of reportable exceptions include: calculation errors, missing data, undisclosed conflicts of interest, potential insider trading violations, or indications that portfolio composition does not reflect the client's stated risk tolerance or investment objectives. No quarterly report is delivered to a client if outstanding exceptions remain unresolved.

15. RECORD RETENTION & ARCHIVAL

Meridian maintains comprehensive records of all quarterly reports, supporting documentation, and client communications for a minimum of five (5) years in accordance with SEBI (Investment Advisers) Regulations, 2013. These records are essential for regulatory examinations, audit procedures, and the resolution of client disputes.

15.1 Digital Archival Standards and Access Controls

All quarterly reports and supporting documentation are maintained in a secure, digital repository with appropriate access controls, encryption, and backup procedures. The repository is organized by client name and year to facilitate efficient retrieval. Access to archived reports is restricted to authorized personnel (Relationship Managers, Operations staff, Compliance officers, auditors) on a need-to-know basis. Access is logged and audited to maintain accountability. Regular backups ensure that records are not lost due to system failure or data corruption.

15.2 Audit Accessibility and Regulatory Examination Support

During SEBI on-site examinations or external audits, all archived records are readily accessible to examiners and auditors. The Firm's Records Management team provides support in locating specific reports, retrieving historical data, and producing reports organized by client, period, or subject matter as requested by regulators or auditors. The Firm maintains a record index and log documenting the location, status, and retrieval history of all archived materials.

16. TRAINING & QUALITY ASSURANCE

The quality of quarterly reporting depends upon the competence and diligence of the personnel responsible for report preparation, validation, and delivery. Meridian invests in ongoing training and quality assurance to maintain high standards.

16.1 Annual Training Program for Reporting Personnel

All Relationship Managers, operations staff, and compliance personnel involved in quarterly report preparation receive annual training on: (i) SEBI regulatory requirements for periodic reporting; (ii) best practices in performance calculation and presentation; (iii) ethical standards and conflicts of interest management; (iv) data quality and validation procedures; and (v) client communication skills. Training materials are updated annually to reflect regulatory changes, new accounting standards, or enhanced procedures. Training attendance is documented and is a component of employee performance evaluations.

16.2 Quality Assurance Reviews and Sampling Methodology

The Chief Compliance Officer conducts periodic quality assurance reviews of delivered quarterly reports using a sampling methodology. A random sample of 5-10% of all quarterly reports delivered in a given period is selected, and a detailed review is conducted to assess: (i) compliance with the content and formatting standards specified in this policy; (ii) accuracy of calculations; (iii) completeness of disclosure; (iv) appropriateness of market commentary; and (v) clarity of presentation. Findings from quality assurance reviews are communicated to responsible personnel, and deficiencies trigger additional training or procedural modifications to prevent recurrence.

16.3 Customer Feedback and Continuous Improvement

Meridian periodically solicits client feedback regarding quarterly reports through surveys or direct inquiries. Client feedback regarding report clarity, timeliness, content relevance, or comprehensibility is compiled and analyzed. Suggestions for improvement are evaluated by the Chief Compliance Officer and the Chief Investment Officer, and enhancements to reporting are implemented as warranted. This continuous improvement approach ensures that quarterly reports remain responsive to client needs and maintain their effectiveness as communication tools.

17. POLICY REVIEW & AMENDMENT

This policy is reviewed annually by the Chief Compliance Officer and the Chief Investment Officer to assess whether current practices remain aligned with regulatory requirements and best practices.

17.1 Annual Policy Review Process

The annual policy review considers: (i) changes in SEBI regulations or regulatory guidance regarding periodic reporting; (ii) changes in industry best practices or standards (e.g., GIPS standards, AMFI guidelines); (iii) feedback from external auditors or regulatory examiners; (iv) client feedback regarding report quality; and (v) internal operational improvements that may warrant policy modifications. The review process involves consultation with all relevant stakeholders, including Relationship Managers, operations staff, compliance personnel, and the Firm's external auditors. A formal review memorandum documenting the findings and recommendations is prepared and submitted to the Firm's Board of Directors for approval.

17.2 Amendment Procedures and Stakeholder Communication

If material amendments to this policy are approved, all internal stakeholders are notified through written communication, and revised documentation is distributed. The effective date of amendments is clearly specified, and training is provided to affected personnel to ensure proper implementation. All amendments are documented in the revision history table maintained in Section 1 of this policy.

17A. ILLUSTRATIVE CASE STUDIES AND EXAMPLES

17A.1 Case Study: Quarterly Report with Positive Performance and Fee Justification

Consider a client, Mr. Raj Kumar, who engaged Meridian Wealth Partners to manage a balanced portfolio of Rs. 2 crores with a target allocation of 60% equities (Nifty 50 and midcap), 35% fixed income (government securities and investment-grade corporate bonds), and 5% cash. During Q1 2026 (January-March), the portfolio earned a gross return of 8.5%, while the blended benchmark (60% Nifty 50 TRI + 40% CRISIL Composite Bond Index) earned 7.2%. The portfolio thus outperformed the benchmark by 130 basis points. Over the quarter, advisory fees totaled Rs. 37,500 ($0.75\% \times \text{Rs. 2 crores} \div 4$), transaction costs were Rs. 8,000, and GST on fees totaled Rs. 6,750. Total costs for the quarter: Rs. 52,250 (0.26% of average AUM). Net return to the client: $8.5\% - 0.26\% = 8.24\%$. Net outperformance versus benchmark: $8.24\% - 7.2\% = 1.04\%$, or 104 basis points. The quarterly report clearly demonstrates that Meridian's advisory services generated substantial alpha (104 basis points) that far exceeded the advisory fees paid, thereby justifying the investment in professional management.

17A.2 Case Study: Managing Client Expectations in Underperforming Quarter

Consider a second client, Ms. Priya Sharma, who maintained a growth-oriented portfolio heavily weighted toward information technology and consumer discretionary stocks, sectors that are cyclical and sensitive to economic growth. During Q2 2026 (April-June), broader market weakness resulted in underperformance of technology and consumer stocks, and Ms. Sharma's portfolio declined 2.3%, while the Nifty 50 TRI declined only 0.8%. The portfolio underperformed the benchmark by 150 basis points. The quarterly report fully and transparently disclosed this underperformance and provided context: (i) the broader market downturn affected growth stocks more severely than value stocks; (ii) the portfolio's sector allocation had reflected the Firm's conviction regarding long-term technology sector growth, but short-term cyclical weakness created underperformance; (iii) the Firm reviewed the portfolio's positioning and determined that the long-term conviction remained justified, and thus recommended holding the current allocation; (iv) the Firm outlined the downside risks (further cyclical weakness) and upside opportunities (valuations becoming more attractive) if the downturn continued. By presenting balanced, honest commentary regarding underperformance, the Firm maintained client trust and demonstrated its commitment to transparency. The quarterly report transformed a challenging situation into an opportunity to reaffirm the long-term investment thesis.

18. APPROVAL & SIGNATURES

This policy document has been reviewed and approved by Meridian Wealth Partners' Board of Directors and represents the official policy governing all quarterly reporting activities.

Title	Name	Signature	Date
Chief Executive Officer			
Chief Compliance Officer			
Chief Investment Officer			
Board of Directors Representative			

APPENDIX A: GLOSSARY OF ADVANCED TERMS AND METRICS

Term	Definition and Context
Information Ratio	Measures risk-adjusted excess return relative to a benchmark. Calculated as (Portfolio Return - Benchmark Return) / Tracking Error.
Sortino Ratio	Similar to Sharpe ratio but penalizes only downside volatility (returns below the risk-free rate), not upside volatility. More applicable for risk management.
Calmar Ratio	Return divided by Maximum Drawdown. Indicates the return earned per unit of downside risk. Useful for comparing portfolios with different risk profiles.
Value at Risk (VaR)	Estimate of the maximum loss that could occur with a specified probability (e.g., 95% confidence level) over a specified time horizon.
Conditional Value at Risk (CVaR)	Expected loss conditional on losses exceeding the VaR threshold. Provides more information about tail risks than VaR alone.
Sector Rotation	Investment strategy involving shifting portfolio exposure between different economic sectors based on cyclical analysis or value opportunities.
Factor Exposure	Portfolio exposure to systematic factors such as value, growth, quality, momentum, dividend yield, or volatility. Factor analysis helps in understanding the drivers of portfolio returns.
Tracking Error	Standard deviation of the difference between portfolio and benchmark returns. Measures how closely the portfolio follows the benchmark.
Active Share	Percentage of portfolio holdings that differ from the benchmark. High active share (>60%) indicates an actively managed portfolio.

The above metrics represent advanced tools used by institutional investors and investment managers to evaluate portfolio performance and risk. While Meridian's client-facing quarterly reports emphasize clarity and accessibility over technical complexity, understanding these metrics enhances the client's ability to engage in sophisticated discussions with the Firm regarding portfolio strategy and risk management.

APPENDIX B: REGULATORY REFERENCES AND COMPLIANCE FRAMEWORK

Meridian Wealth Partners' quarterly reporting policies are grounded in the following regulatory and industry standards:

Regulatory Authority / Standard	Applicable Regulation / Standard	Key Requirements
SEBI	SEBI (Investment Advisers) Regulations, 2019	Investment advisers must provide periodic statements disclosing all relevant information.
SEBI	Consolidated Investment Advisers Handbook	Guidance on performance presentation, fee disclosure, conflicts of interest management.
AMFI	Association of Mutual Funds in India Best Practices	Best practices for fund performance reporting, return calculation methodologies, and benchmarking.
CFA Institute	Global Investment Performance Standards (GIPS)	International standards for investment performance presentation. Requires presentation of performance data in a consistent and transparent manner.
RBI	Know Your Client (KYC) Guidelines	Requirements for client identification, beneficial ownership verification, and periodic KYC updates.
FIU	Anti-Money Laundering (AML) Regulations	Requirements for suspicious transaction reporting, transaction monitoring, and maintenance of records.

By aligning with these regulatory and industry standards, Meridian Wealth Partners ensures that its quarterly reporting practices meet or exceed minimum regulatory requirements and reflect best practices recognized globally. Regular training and monitoring ensure that all personnel responsible for quarterly reporting remain current with regulatory developments and industry standards.

APPENDIX C: FREQUENTLY ASKED QUESTIONS (FAQ) FOR CLIENTS

Q: Why does my quarterly report show a negative return when the stock market rose during the quarter?

A: Portfolio performance depends on the specific securities held, the sector allocation, and the timing of cash flows. A portfolio may underperform the broader market due to: (i) sector allocation that performed worse than the market average (e.g., overweight in defensive healthcare while growth technology outperformed); (ii) security selection within sectors (e.g., selected stocks within the IT sector lagged the broader IT sector index); or (iii) high cash balances that earned lower returns than equities during a bull market. The quarterly report analyzes these factors and explains the sources of performance.

Q: How is my portfolio's performance calculated?

A: Portfolio returns are calculated using the Time-Weighted Return (TWR) methodology, which isolates the investment manager's performance from the effects of your specific cash flows. If you made contributions or withdrawals during the quarter, TWR accounts for the timing and magnitude of those flows to provide an accurate measure of the manager's skill. Money-Weighted Return (MWR) is also calculated to show your actual return including the impact of your personal cash flow timing.

Q: Why do I pay advisory fees if my portfolio underperformed the benchmark?

A: Advisory fees are based on the value of assets under management, not on investment performance. However, the quarterly report quantifies whether the Firm's advisory services generated sufficient alpha (outperformance) to justify the fees. If fees consistently exceed outperformance, the client should discuss potential strategy modifications or fee adjustments with the Relationship Manager.

Q: What is the difference between gross and net returns?

A: Gross returns reflect the portfolio's investment performance before deducting the Firm's advisory fees, brokerage commissions, and transaction costs. Net returns reflect performance after all costs are deducted. Net returns represent the actual return to the client and are the relevant measure for assessing wealth accumulation. Both metrics are provided to enable transparency regarding the cost of advisory services.

Q: Why are my holdings different from those in my previous quarter's report?

A: Holdings may change due to: (i) deliberate buy and sell transactions executed by the Relationship Manager to rebalance the portfolio, pursue security selection opportunities, or respond to changing market conditions; (ii) corporate actions such as stock splits, mergers, or dividend reinvestment; or (iii) mutual fund distributions or other distributions taken. The Transactions Summary section explains all changes in detail.

APPENDIX D: CALCULATION METHODOLOGIES AND WORKED EXAMPLES

D.1 Time-Weighted Return Calculation Example

Consider a portfolio with the following activity over Q1 2026: Beginning Value (Jan 1): Rs. 100 lakhs; Cash Flow (Feb 1): Rs. +20 lakhs (contribution); Ending Value (Mar 31): Rs. 128 lakhs. To calculate TWR, we divide the period into two sub-periods: (i) Jan 1 – Feb 1 (before the cash contribution); and (ii) Feb 1 – Mar 31 (after the cash contribution). First sub-period return: $(\text{Value on Feb 1} - \text{Beginning Value}) / \text{Beginning Value}$. Assuming the portfolio was worth Rs. 110 lakhs on Feb 1, the return = $(110 - 100) / 100 = 10\%$. Second sub-period return: $(\text{Ending Value} - \text{Value on Feb 1} - \text{Cash Flow}) / (\text{Value on Feb 1})$. Assuming the portfolio grew to Rs. 128 lakhs after receiving the Rs. 20 lakh contribution, the return = $(128 - 110 - 20) / 110 = -2/110 = -1.82\%$. Linked TWR = $(1.10 \times 0.9818) - 1 = 1.0800 - 1 = 8.00\%$ for the quarter. This TWR of 8.00% reflects the investment manager's actual performance, isolated from the impact of the client's Rs. 20 lakh contribution. Had we used a simple calculation (Total Gain / Beginning Value), we would have obtained $(28 / 100) = 28\%$, which would be misleading because it includes the return on the client's new contribution.

D.2 Sharpe Ratio Calculation Example

Assume a portfolio with the following characteristics over a 3-year period: Average Annual Return = 12%, Annual Volatility (Standard Deviation) = 14%, Risk-Free Rate = 4% (based on 91-day T-Bill yield). Sharpe Ratio = $(12\% - 4\%) / 14\% = 8\% / 14\% = 0.571$. This indicates that the portfolio generates 0.571% of excess return per 1% of volatility incurred. Now consider a second portfolio with: Average Annual Return = 11%, Annual Volatility = 10%, Risk-Free Rate = 4%. Sharpe Ratio = $(11\% - 4\%) / 10\% = 7\% / 10\% = 0.70$. Although the second portfolio has a lower absolute return (11% vs. 12%), it has a higher Sharpe ratio (0.70 vs. 0.571), indicating superior risk-adjusted returns. For the same level of volatility, the second portfolio would have been preferable. This illustrates why risk-adjusted metrics are important for comparing portfolios with different risk profiles.

D.3 Total Expense Ratio (TER) Calculation Example

Consider a client portfolio with the following quarterly charges: Opening Balance = Rs. 50 lakhs, Closing Balance = Rs. 52 lakhs, Average AUM = Rs. 51 lakhs. Fees charged: Advisory Fee = 0.75% per annum, so quarterly amount = $0.75\% \div 4 = 0.1875\% = (51 \text{ lakhs} \times 0.1875\%) = \text{Rs. } 9,562.50$. Transaction Costs: Brokerage = Rs. 3,000, STT = Rs. 1,500, Exchange fees = Rs. 500. Total transaction costs = Rs. 5,000. GST on Advisory Fee: $18\% \times \text{Rs. } 9,562.50 = \text{Rs. } 1,721.25$. Total Quarterly Costs = $9,562.50 + 5,000 + 1,721.25 = \text{Rs. } 16,283.75$. Quarterly TER = $16,283.75 / 51 \text{ lakhs} = 0.319\%$, or annualized TER = $0.319\% \times 4 = 1.276\%$. This TER of 1.276% represents the total annual cost burden on the client's portfolio and is used to assess cost efficiency relative to peers and index funds.

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